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CITY OF PORTLAND, OREGON

Memorandum

To: Diana Nunez, Strategic Projects Manager supporting the Charter Commission
Julia Meier, Strategic Projects Manager supporting the Charter Commission
Cc: Shoshanah Oppenheim, Strategic Projects and Opportunities Team Manager
Maja Haium, Senior Deputy City Attorney
From: Jessica Kinard, City Budget Director *JFK*
Date: October 14, 2022
Subject: Commission Request for Participatory Budgeting Set Aside information

I understand that the Charter Commission is considering language to include a set aside of General Fund resources for a participatory budgeting program or process and is interested in understanding both the resources made available by different levels of mandatory set asides (0.5%, 1%, 5%), and are interested in understanding the potential impacts of that set aside on current City services.

This memo strives to answer these questions, acknowledging that there is significant uncertainty with regards to the actual impacts on City services. This memo begins with an overview of the General Fund for background and clarification before providing cost estimates. Please note that the figures in this memo are approximates, as this analysis was conducted with limited time this week.

I will be available to join the Commission meeting on Tuesday, October 19th to walk through this information and address any questions the Commission may have. You and the Commissioners should free to also reach out to me via email or phone with additional questions at any time.

The General Fund Account vs. General Fund Discretionary Resources

From an accounting standpoint, the “General Fund” is Fund 100, which is where bureaus that receive General Fund resources house their budget and accounting operations. However, bureaus also receive other types of dedicated resources in this fund. For example, Parks receives fees for recreational services (that can only be used on those recreational services) and expends \$40M+ of Parks Operating Levy resources (which are restricted to eligible uses) in the General Fund account. This means that when someone uses the term General Fund, they could be talking about both discretionary and non-discretionary resources.

General Fund account “Fund 100” resources in the FY 2022-23 Adopted Budget total \$927M;

however, this includes non-discretionary resources. This number likely led to the City Attorney working with the Commission sharing an estimate of \$4.5 million equating to 0.5% of the General Fund at the October 11th meeting. However, upon talking with the City Attorney, we together clarified and agreed that the Commission is likely interested in is the ongoing General Fund discretionary figure – which are resources that can be expended more broadly. In the Adopted Budget, **General Fund ongoing discretionary resources totaled \$625.3 million** (note, the Adopted Budget states the General Fund discretionary total as a larger number because it that total figure includes both ongoing and one-time resources). This \$625.3 million dollar value is what is used to calculate the estimates provided below.

Resource Generated with Different Set-Asides

The current year adopted budget included \$625.3 million in ongoing General Fund discretionary resources. At that level of resource, the following funding would be generated at different levels of the set aside:

Total FY22-23 Adopted Budget Ongoing General Fund Discretionary	\$	625,300,000
0.5%	\$	3,126,500
1%	\$	6,253,000
5%	\$	31,265,000

It is worth noting that this allocation is expected to grow each year based on property and other tax receipts, so the General Fund discretionary value would be higher when the proposed program takes effect following voter approval.

City Services Impacts

It is very difficult to state what the impact on bureaus of these different set-asides would be because the value of cuts that would be required, the cut proposals subsequently offered by bureaus, and what cuts are approved by the Council each depends on several different factors.

Will cuts be required to fund these set asides?

Over the past 10 years, forecasted available ongoing General Fund discretionary revenues have fluctuated from a low of a deficit of \$21.5 million to high of a surplus of \$13.1 million. The fluctuation makes it hard to say for certain whether a required set-aside in the future will require cuts to bureaus, as it is possible that additional resources may be available to fund the set-aside in the year that the new program takes effect.

However, the average forecast over the last decade was a deficit of \$1.0 million. When there has been a surplus, it has typically been less than \$5 million.

While it's possible that there would be funds available in the forecast to support this additional set aside, the above data suggests that it would be reasonable to assume that these resources would come from reductions to bureaus.

What would be the impacts to City services of reductions?

If bureaus were to absorb the cost of this set aside, it's worth noting that the percent cut to bureaus would be greater than the percent set aside because there are several allocations that cannot (or likely would not) be cut. In the Adopted Budget, over 10% of ongoing General Fund discretionary

resources went towards debt service costs, required reserve and contingency deposits, employee cost of Living expenditures, legally mandated allocations, and Council and Auditor office expenses.

In the Adopted Budget, over 70% General Fund discretionary resources were allocated to four allocations: the Portland Police Bureau, Portland Fire and Rescue, Portland Parks and Recreation and the Joint Office of Homeless Services. Combined with the fact that over 10% allocations cannot be cut, this means that any reduction is likely to either impact these four service areas or significantly reduce or eliminate other programs in bureaus.

Using an across-the-board cut methodology and current year Adopted Budget figures, here is *approximately* what those cuts would mean to current year adopted budgets.

Approximate across-the-board cuts to bureaus using FY23 figures	to obtain 0.5% of GFD	to obtain 1% of GFD	to obtain 5% of GFD
Portland Police Bureau	\$1,160,000	\$2,330,000	\$11,638,314
Portland Fire & Rescue	\$760,000	\$1,530,000	\$7,630,000
Portland Parks & Recreation	\$470,000	\$920,000	\$4,620,000
Joint Office of Homeless Services	\$160,000	\$320,000	\$1,580,000
All Other Bureaus/Allocations	\$580,000	\$1,150,000	\$5,791,686
Total	\$3,130,000	\$6,250,000	\$31,260,000

It should be noted that reductions do not have to be taken across-the-board equally. However, if the above larger bureaus are held harmless, that would result in much more significant percentage reductions and/or program eliminations for smaller bureaus such as Planning and Sustainability, Community and Civic Life, Prosper Portland, Emergency Communications, Emergency Management, Equity & Human Rights, and City supportive services like Human Resources, Revenue and Financial Management, the Attorney's Office, Government Affairs, and the Budget Office..

Service Impacts of a 0.5% Reduction

It is difficult to say what the impacts of lower-level reductions may be, as the impact varies from bureau to bureau. Many bureaus may be able to "absorb" a 0.5% reduction with little to no service disruption. However, the City has recently undergone two years of significant budget reductions as a result of the COVID-19 pandemic, so reductions are more likely to impact direct services than would be the case a few years ago. If bureaus are unable to find the savings via reductions to materials and services, bureaus are likely to look to eliminate vacant positions, which will reduce programmatic service levels.

For the larger General Fund allocations, bureaus would likely submit clear reductions in service. Below are the potential impacts based upon prior reduction submissions from bureaus as well as CBO analysis:

For **Portland Police Bureau**, a reduction of \$1.16 million could be met with a reduction in vacant police officer positions. While this would not result in reduced current officers, it would result in less funding for overtime backfill of patrol shifts. This reduction may not immediately reduce service levels but would eventually lead to fewer officers available for patrol.

In past cut exercises, **Portland Fire & Rescue** has routinely offered eliminating one or more of their rapid response vehicles and associated firefighter positions, and/or partial or full-year closure of fire stations. The \$760,000 estimated reduction in the above table is roughly equivalent to a partial-year

closure of a fire station and the elimination of 5 firefighter positions.

With the passage of the 2020 Parks Operating Levy, **Portland Parks and Recreation** has been able to significantly expand its recreation programming and parks services. A reduction in General Fund would most likely lead to a commensurate reduction in funding for these expanded services, as both General Fund and Parks Levy resources jointly support operations.

In response to a cut exercise, the **Joint Office of Homeless Services** may reduce funding for emergency shelter beds, supportive housing units, or placements into permanent supportive housing among other services. A reduction of \$160,000 is equivalent to about 18 year-round emergency shelter beds.

Service Impacts of a 1% Reduction

At the 1% reduction level, bureaus will likely look to eliminate vacant positions and/or reduce contracted services or other materials and services. As with the 0.5% reduction, it may be possible for some bureaus to “absorb” this level of reduction without notable service level impacts, but that is less likely than it was a few years ago. Larger bureau allocations would likely put up more notable service level impacts.

For the **Police Bureau**, a \$2.3M reduction would likely be met with further elimination of vacant police officer positions. The larger size of the funding reduction would likely lead to the ability to provide less overtime backfill and lead to a reduction in service in the mid- and longer-term even though only vacant positions are eliminated.

For **Portland Fire and Rescue**, a \$1.5 million reduction could be roughly equivalent to the closure of one fire station.

For **Portland Parks and Recreation**, they may reduce parks and/or recreational programming by \$920,000.

As mentioned above, the **Joint Office of Homeless Services** may reduce funding for emergency shelter beds, supportive housing units, or placements into permanent supportive housing among other services. A reduction of \$320,000 is equivalent to about 32 units of supportive housing.

Service Impacts of a 5% Reduction

A reduction of \$31.3 million would cause significant service level reductions. The largest ongoing cut exercise that the City has successfully implemented in the past several years was to close a deficit of just over \$20 million ongoing General Fund. The City undertook this once during FY 2013-14 budget development and again during the pandemic. This reduction would be 50% greater than any reduction the City has achieved within recent history.

The reduction of \$31.3 million across bureaus would likely lead to the elimination of several dozen – and potentially over 100 – positions across the City and would very likely cause several layoffs of current employees. At this level of reduction, programs may be eliminated across the City.

The FY 2021-22 Adopted Budget is a reasonable proxy for identifying the potential impact of a 5% ongoing budget cut which reduced the **Police Bureau's** budget by 5% or approximately \$10.1 million. To implement the budget reductions, the bureau eliminated 44 vacant positions which included a mix of sworn and non-sworn staff and reduced overtime and planned capital expenditure

for important projects. Given that a vast majority of the bureau's expenses are for personnel, an additional ongoing 5% budget reduction would require additional cuts to sworn and non-sworn staff, which would likely be a mix of filled and vacant police officer and non-sworn positions assuming the bureau's successful recruitment efforts continue. A 5% reduction would also result in reduced overtime expenses which the bureau relies on to meet shift minimums given the bureau's historically low level of officers available for patrol.

For **Portland Fire & Rescue**, a \$7.6 million reduction would be equivalent to a reduction in staffing that would close approximately 5 fire stations.

A reduction of \$4.6 million to **Portland Parks and Recreation** would result in reduced programming for parks and recreational services and may also reduce funding for asset maintenance of parks facilities, structures and natural areas as well as community centers. The bureau may be required to lay off employees to process this size of a reduction.

A \$1.58 million reduction to **Homeless Services** funding could mean a reduction in a variety of services. For context, this amount would be equivalent to a reduction in placement of approximately 100 people from shelter into permanent housing.

Alternative Funding Considerations

In accordance with City Financial Policy and good financial management practices, the City Economist balances forecasted General Fund resources over a five-year horizon. Resources that are available for all five years of the forecast are considered "ongoing" while resources that are only available in the first year(s) of the forecast are deemed to be available on a one-time basis. Thus, the General Fund forecast divides available resources (or deficits) into two categories: ongoing resources and one-time resources. Ongoing resources are typically available at much lower levels than one-time resources.

Another opportunity for the Commission to consider is dedicating a percentage of the one-time available forecasted resources. While the availability of these resources can more significantly fluctuate annually, the allocation of these resources does not require bureau cuts. The City has existing financial policy that states that 50% of one-time resources must go towards critical capital deferred maintenance needs (things like fixing bridges, roads, traffic signals, park trails, community centers, and fire stations, among other asset maintenance needs). The Commission could consider earmarking a portion or all of the remaining 50% of available one-time forecasted resources annually for community allocation through a participatory budgeting program or process. The median amount of available one-time resource in the forecast over the past ten years is \$18.4 million. The median amount made available by a 25% set aside of these resources would be \$4.6 million.

As General Fund discretionary only comprises 10% of the City's total budget, the Commission should also consider other resources – such as capital planning resources – that would be a good fit for a participatory budgeting process. As capital project resources fluctuate significantly, it might be best to consider general language around considering these resources as part of the program rather than a specific percentage allocation.